

A good idea taken to an illogical extreme becomes a bad one. Zealots such as Sen. Phil Gramm (R-Tex.) argued *against all regulations*. Radical deregulation was one of several bad ideas that led to the crash of AIG, Lehman Brothers, Countrywide, Merrill Lynch, and many others.¹⁰⁸ Soon after Lehman collapsed in September 2008, Nobel Prize-winning economist Paul Samuelson observed, “Deregulated capitalism is a fragile flower bound to commit suicide.”

Supply-side economics (e.g., tax cuts pay for themselves)

Another bad idea that started well. When tax rates are confiscatory—think of rates at 75% to 90%—reducing them changes behavior for the better. Otherwise, rates that high lead to tax avoidance strategies. We run into trouble when this concept is extrapolated to infinity. The claim that all tax cuts pay for themselves via greater economic activity has been thoroughly debunked.

Austerity

Conceived from Puritanism: We must pay penance for our sins, including a robust economy. The Austerians insist that spending cuts and tax increases will cure a post-bubble economy AND produce a balanced budget. When the United States tried this in 1938, it helped send the nation back into recession. In the 2010s, Greece was forced to adopt austerity measures as part of its financial-rescue terms. It pushed the country into a depression. Austerity measures in Britain and Ireland and Spain—indeed, everywhere they were imposed in Europe—all led to recessions. Despite the wealth of evidence showing that this is a terrible idea, it refuses to die.



These zombie ideas are a staple of academia, economics, and investing, and